18 Income Taxes

The significant components of income tax expense were as follows:

Year ended December 31, *(in millions)*	**2004**	2003	2002
Current income tax expense			
U.S. federal	**$1,518**	$1,411	$908
Foreign	**128**	161	206
State and local	**(37)**	351	290
Total current expense	**1,609**	1,923	1,404
Deferred income tax expense			
U.S. federal	**(466)**	(196)	(128)
Foreign	**142**	63	(9)
State and local	**149**	(199)	(196)
Total deferred expense	**(175)**	(332)	(333)
Total income tax expense	**$1,434**	$1,591	$1,071

A reconciliation of the statutory U.S. federal income tax rate to the Company's effective tax rate applicable to income is shown in the following table.

Year ended December 31,	**2004**	2003	2002
Statutory U.S. federal tax rate	**35.0%**	35.0%	35.0%
Change in tax rate resulting from:			
State and local income taxes, net of federal income tax benefit	**2.7**	2.3	2.8
Tax-exempt income	**(0.8)**	(0.7)	(0.5)
Foreign income tax rate differential	**(1.3)**	(0.2)	(0.1)
Other(a)	**(2.6)**	(0.1)	(0.8)
Effective tax rate	**33.0%**	36.3%	36.4%

(a) Reflects the benefit of favorable settlements with various tax authorities (both U.S. and International) as well as the impact of changes in reserve requirements.

Deferred tax assets and liabilities result from differences between assets and liabilities measured for financial reporting purposes and those measured for income tax return purposes. The significant components of deferred tax assets and liabilities are reflected in the following table.

December 31, *(in millions)*	**2004**	2003
Deferred tax liabilities		
Lease transactions	**$3,416**	$3,967
Mortgage servicing rights	**785**	536
Deferred acquisition costs	**584**	428
Unrealized gains on securities	**337**	295
Debt issuance costs	**335**	123
Hedging transactions	**220**	145
Accumulated translation adjustment	**113**	19
State and local taxes	**92**	65
Other	**16**	68
Gross deferred tax liabilities	**5,898**	5,646
Deferred tax assets		
Provisions for credit losses	**1,105**	1,092
Postretirement benefits	**288**	277
Unearned insurance premiums	**278**	250
Sales of finance receivables and loans	**100**	(17)
Foreign tax credits (a)	**73**	63
Insurance reserves	**65**	65
Other	**235**	266
Gross deferred tax assets	**2,144**	1,996
Net deferred tax liability	**$3,754**	$3,650

(a) Net of valuation allowance of $112 as of December 31, 2004 and 2003.

Foreign pre-tax income totaled $1,004 million in 2004, $784 million in 2003, and $633 million in 2002. Foreign pre-tax income is subject to U.S. taxation when effectively repatriated. The Company provides federal income taxes on the undistributed earnings of foreign subsidiaries, except to the extent that such earnings are

indefinitely reinvested outside the United States. At December 31, 2004, $1,782 million of accumulated undistributed earnings of foreign subsidiaries was indefinitely reinvested. Quantification of the deferred tax liability, if any, associated with indefinitely reinvested earnings is not practicable.

The Corporation has open tax years from 1998 to 2003 with various U.S. and foreign taxing jurisdictions. These open years contain matters that could be subject to differing interpretations of applicable tax laws and regulations as they related to the amount, timing or inclusion of revenue and expenses or the sustainability of income tax credits for a given audit cycle. The Corporation has established a liability of approximately $260 million for those matters where the amount of loss is probable and estimable. The amount of the liability is based on management’s best estimate given the Corporation’s history with similar matters and interpretations of current laws and regulations.